



Zebra Technologies Third Quarter 2021 Results

November 2, 2021

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters, public health issues (including pandemics), or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Anders Gustafsson, CEO

Nathan Winters, CFO

Joe Heel, Chief Revenue Officer



Third Quarter 2021 Highlights ⁽¹⁾

- Delivered sales, EBITDA margin, and earnings per share results that exceeded our outlook
- Organic Net Sales increased 23%
 - Robust broad-based demand for our solutions that help our customers automate & digitize their operations in the increasingly on-demand global economy
 - Double-digit growth across all regions and each business segment
 - Particularly strong growth in enterprise mobile computing
- Adjusted EBITDA margin of 21.7%, 140 bps year-over-year increase
 - Gross margin improvement from favorable business mix and higher service and software margins; partially offset by incremental premium freight costs due to industry-wide supply chain challenges
 - Operating expense scaling, while driving focused investment in profitable growth initiatives
- Non-GAAP diluted EPS \$4.55, up 39%
- Acquired Fetch Robotics, which has the broadest portfolio of autonomous mobile robots in the industry, powered by a cloud software platform



⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

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Third Quarter P&L Summary⁽¹⁾

In millions, except per share data	3Q21	3Q20	Change
Adjusted Net Sales	\$1,436	\$1,134	+26.6%
Organic Net Sales Growth ^(2,3)			+23.2%
Adjusted Gross Profit	\$648	\$497	+30.4%
Adjusted Gross Margin	45.1%	43.8%	+130bps
Adjusted Operating Expenses	\$354	\$283	+25.1%
Adjusted EBITDA	\$312	\$230	+35.7%
Adjusted EBITDA Margin	21.7%	20.3%	+140bps
Non-GAAP Diluted EPS	\$4.55	\$3.27	+39.1%

SEGMENT ORGANIC SALES GROWTH^(2,3)

- EVM Segment +27.9%
- AIT Segment +12.1%

REGIONAL ORGANIC SALES GROWTH^(2,3)

- North America +14%
- EMEA +39%
- Asia Pacific +17%
- Latin America +41%

STRONG EBITDA & EPS IMPROVEMENT

- Higher gross margin
- Operating expense leverage
- Lower interest cost and favorable tax rate

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

⁽³⁾ Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet Highlights



Cash Flow: YTD 3Q21

- \$798M free cash flow
 - \$316M higher free cash flow YoY primarily due to higher net income
- More than \$300M for the acquisitions of Fetch Robotics and Adaptive Vision; \$24M venture investments
- Net debt repayments of \$256M
- \$25M of share repurchases; \$728M remaining under the 2019 authorization

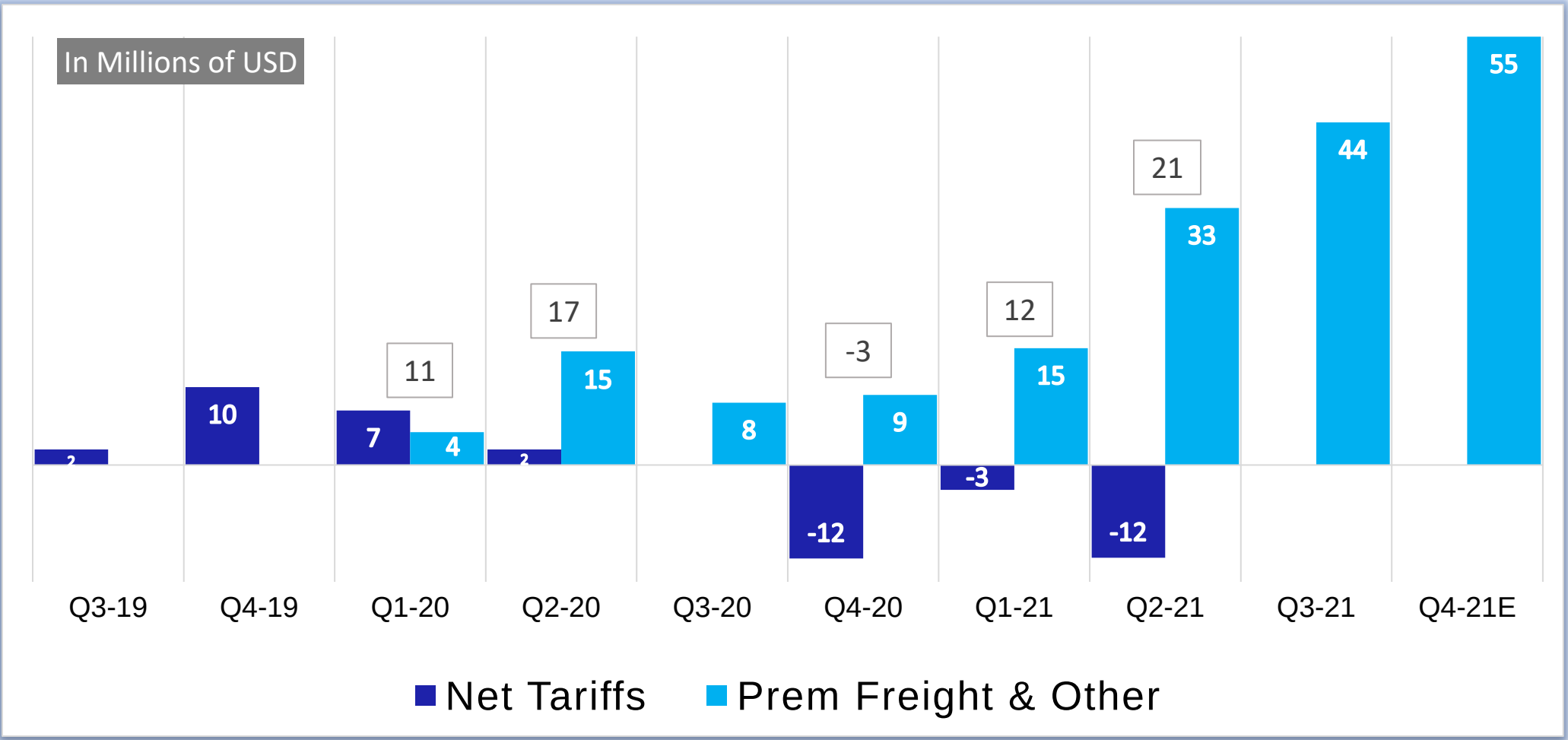


Strong Liquidity Position: 3Q21

- \$307M in cash & cash equivalents
- \$1.0B total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 0.5x
- Nearly \$1.0B capacity under revolving credit facility

Global Premium Freight Costs Have Escalated Through Pandemic

Expected to Abate as Component Supply and Freight Capacity Improves



Estimate 4Q21
YoY increase in
transitory COGS
items of ~ \$58M,
a 4-point negative
margin impact

Outlook & Assumptions

4Q21

- Adjusted net sales growth ~ 8-12% YoY
 - ~ 2 percentage point additive impact from recently acquired business ⁽¹⁾ and FX
- Adj. EBITDA margin slightly higher than 21%
- Non-GAAP diluted EPS ~ \$4.20 to \$4.50
- ~ \$55M negative gross profit impact from premium freight based on pre-Pandemic rates

FY21

- Adjusted net sales growth expected to be > 25% YoY (based on Q4 outlook)
- Adjusted EBITDA margin ~ 23% (based on Q4 outlook)
- Free cash flow ≥ \$950M
- Capital expenditures ~ \$50-55M
- Depreciation ~ \$70-75M and Amortization ~ \$110-120M
- Stock-based compensation expense ~ \$90M
- Cost of debt (pre-tax) ~ 3%
- Non-GAAP tax rate ~ 18%

(1) Refers to impact to growth rate for the 12 months following acquisition date; antuit.ai was acquired on Oct. 7, 2021, Fetch Robotics on Aug. 9, 2021, Adaptive Vision on May 17, 2021, and Reflexis Systems on Sep. 1, 2020

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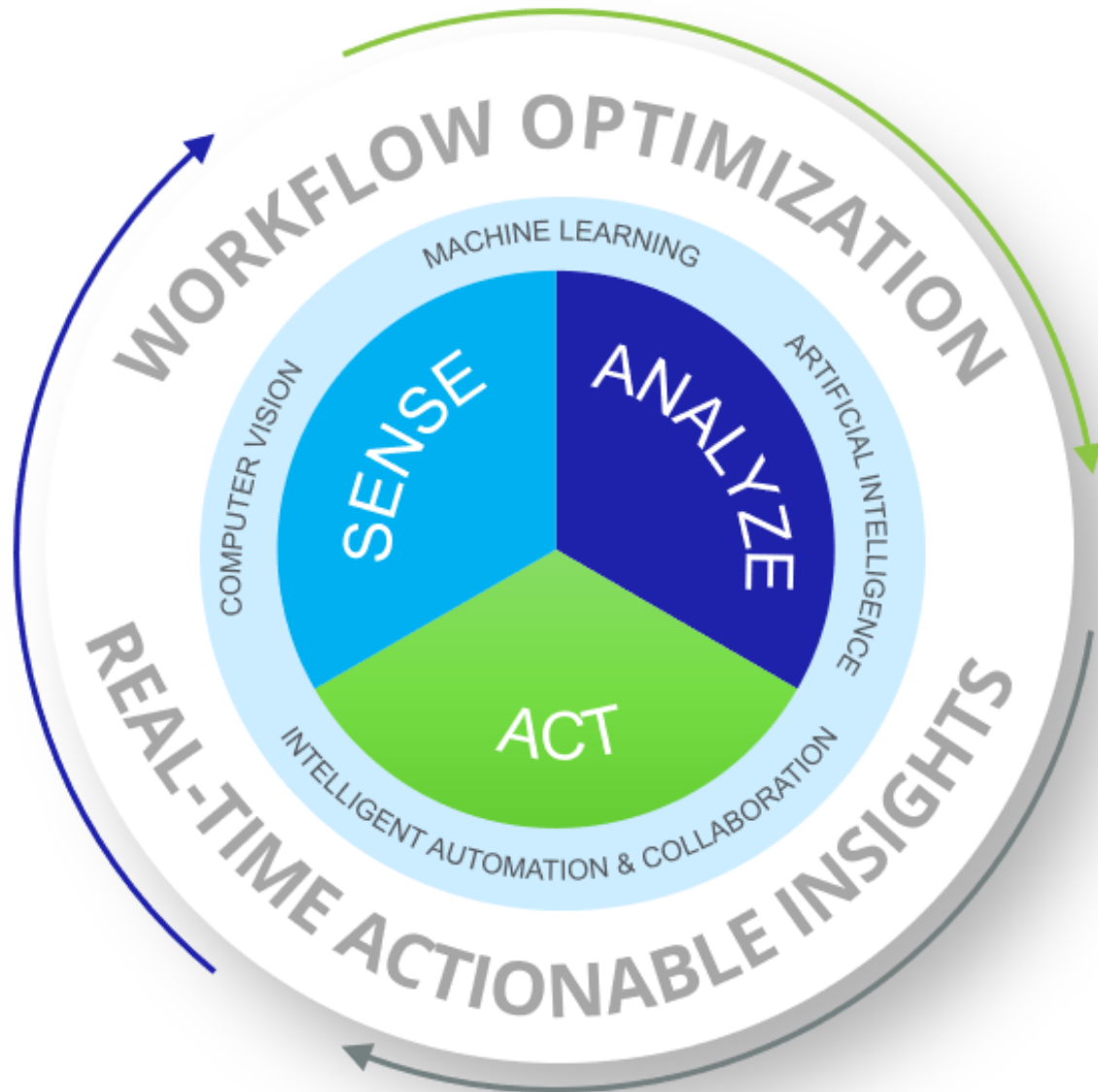
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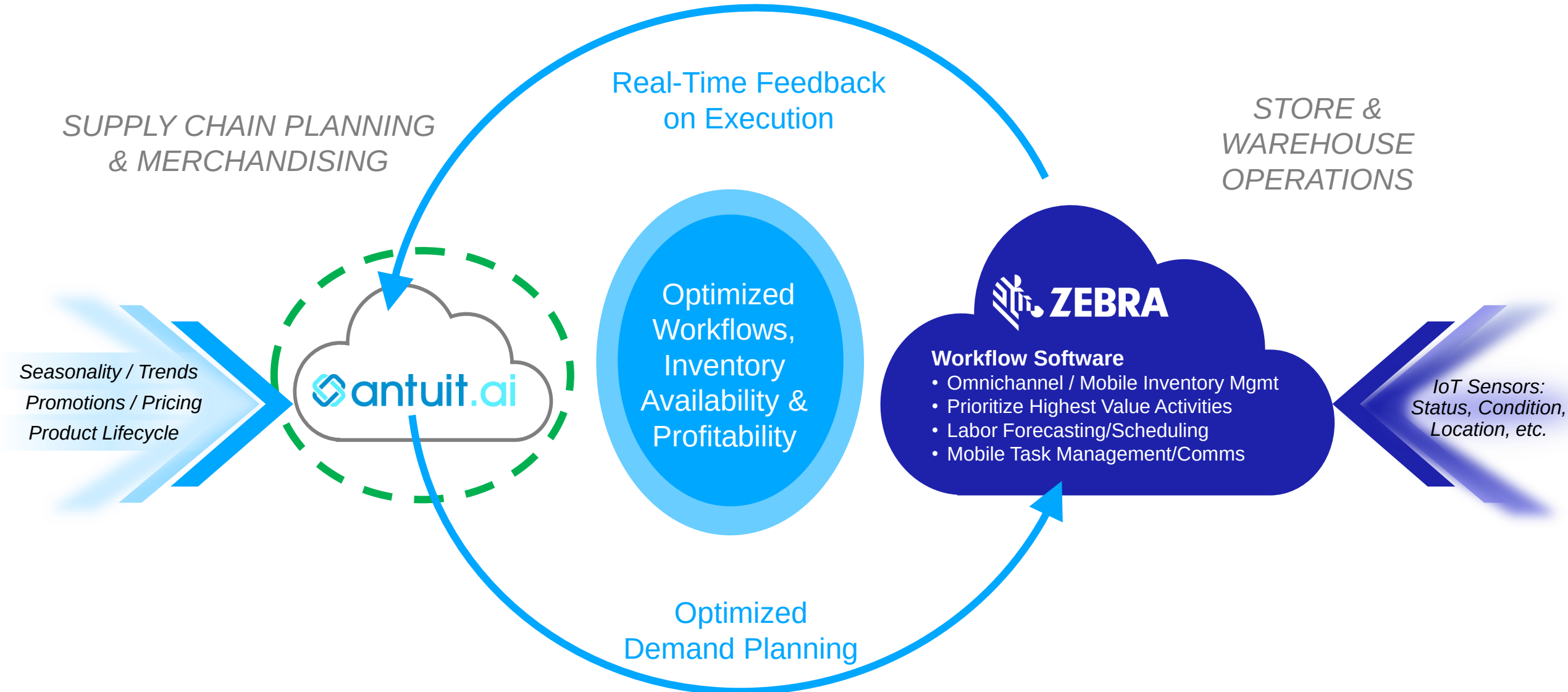
Zebra Digitizes & Automates the Front Line of Business

Transforming Workflows: Purpose-Built Hardware + Software + Cloud Analytics

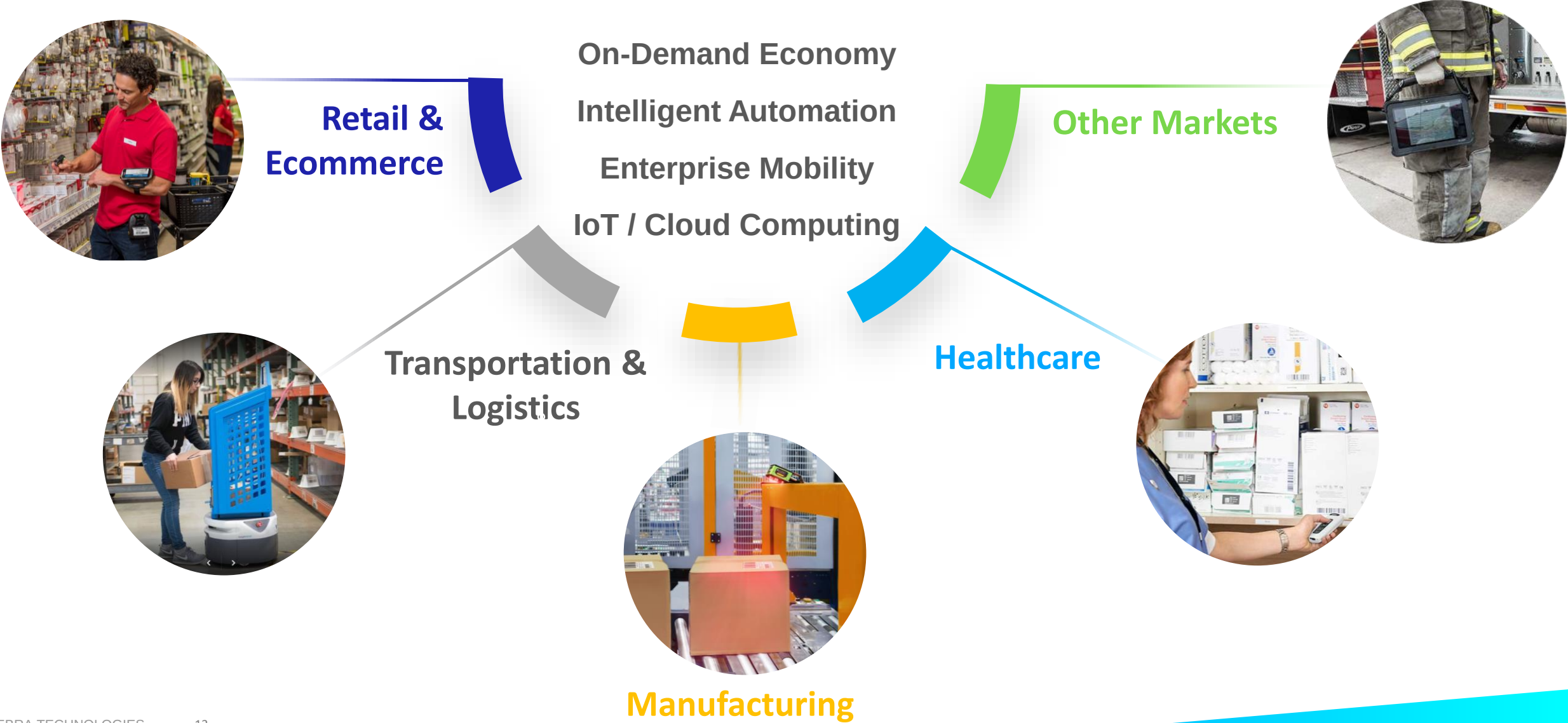


Investing To Advance Our Enterprise Asset Intelligence Vision: Retail & CPG

Antuit.ai's AI-Powered Demand Sensing Is Complimentary To Zebra's Workflow Software Suite



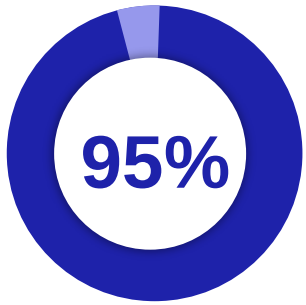
Zebra Optimizes Workflows for the On-Demand Economy



Healthcare Providers Investing to Automate & Digitize Operations

Empowering Clinicians with Mobile Technology Elevates Patient Care and Enhances Workflows

More than **8 in 10** decision-makers agree that the *Pandemic* accelerated investment in technology at their hospital.¹



...of IT decision-makers expect to increase spending in healthcare IT and clinical mobility in the next year.¹

Key factors driving investment in IT, clinical mobility, & location solutions:

- Streamline workflows
- Improve patient safety / outcomes
- Reduce cost of patient care
- Comply with evolving regulations



¹ Source: Zebra Global Healthcare Vision Study (2021)

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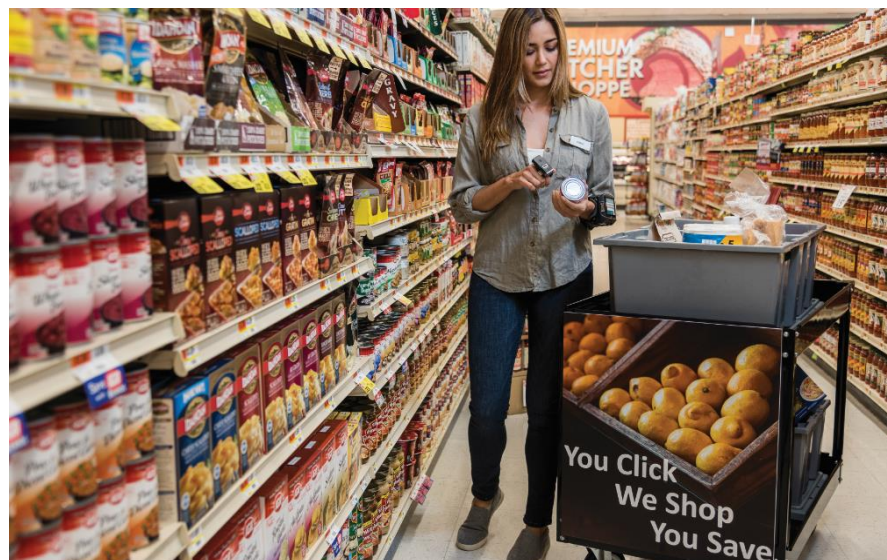
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Appendix

Use of Non-GAAP Financial Information

This earnings release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation (Unaudited)

	Three Months Ended		
	October 2, 2021		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	13.9 %	32.1 %	26.9 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	(1.8)%	(2.6)%	(2.4)%
Impact of acquisitions ⁽²⁾	— %	(1.6)%	(1.3)%
Consolidated Organic Net sales growth	12.1 %	27.9 %	23.2 %

	Nine Months Ended		
	October 2, 2021		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	28.5 %	34.4 %	32.5 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	(1.9)%	(2.5)%	(2.3)%
Impact of acquisitions ⁽²⁾	— %	(2.1)%	(1.4)%
Consolidated Organic Net sales growth	26.6 %	29.8 %	28.8 %

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.
- (2) For purposes of computing Organic Net sales growth, amounts directly attributable to the acquisitions of Reflexis, Adaptive Vision, and Fetch are excluded for twelve months following their respective acquisitions.

GAAP to Non-GAAP Gross Margin Reconciliation (In millions) (Unaudited)

	Three Months Ended					
	October 2, 2021			September 26, 2020		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 386	\$ 1,050	\$ 1,436	\$ 339	\$ 795	\$ 1,132
Reported Gross profit ⁽¹⁾	168	478	646	158	338	493
Gross Margin	43.5 %	45.5 %	45.0 %	46.6 %	42.5 %	43.6 %

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 386	\$ 1,050	\$ 1,436	\$ 339	\$ 795	\$ 1,134
Adjusted Gross profit ⁽²⁾	169	479	648	158	339	497
Adjusted Gross Margin	43.8 %	45.6 %	45.1 %	46.6 %	42.6 %	43.8 %

	Nine Months Ended					
	October 2, 2021			September 26, 2020		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 1,243	\$ 2,923	\$ 4,160	\$ 967	\$ 2,175	\$ 3,140
Reported Gross profit ⁽¹⁾	579	1,386	1,959	454	937	1,385
Gross Margin	46.6 %	47.4 %	47.1 %	46.9 %	43.1 %	44.1 %

<u>Non-GAAP</u>						
Adjusted Net sales	\$ 1,243	\$ 2,923	\$ 4,166	\$ 967	\$ 2,175	\$ 3,142
Adjusted Gross profit ⁽²⁾	581	1,390	1,971	455	939	1,394
Adjusted Gross Margin	46.7 %	47.6 %	47.3 %	47.1 %	43.2 %	44.4 %

(1) Consolidated results include corporate eliminations related to business acquisition purchase accounting adjustments that are not reported in segment results.

(2) Adjusted Gross profit excludes business acquisition purchase accounting adjustments, share-based compensation expense, and product sourcing diversification costs.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Nine Months Ended	
	October 2, 2021	September 26, 2020	October 2, 2021	September 26, 2020
Net income	\$ 199	\$ 116	\$ 646	\$ 305
Adjustments to Net sales ⁽¹⁾				
Purchase accounting adjustments	—	2	6	2
Total adjustments to Net sales	—	2	6	2
Adjustments to Cost of sales ⁽¹⁾				
Share-based compensation	2	1	6	3
Product sourcing diversification initiative	—	1	—	4
Total adjustments to Cost of sales	2	2	6	7
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	29	20	81	52
Acquisition and integration costs	6	19	11	21
Share-based compensation	20	14	64	35
Exit and restructuring costs	—	1	—	7
Product sourcing diversification initiative	—	6	—	11
Total adjustments to Operating expenses	55	60	156	126
Adjustments to Other income (expense), net ⁽¹⁾				
Amortization of debt issuance costs and discounts	—	1	2	2
Investment gain	(1)	(1)	(1)	(8)
Foreign exchange loss	4	3	3	15
Forward interest rate swap (gain) loss	1	4	(4)	46
Total adjustments to Other income (expense), net	4	7	—	55
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	29	22	96	39
Less: Adjusted income tax expense	(44)	(34)	(160)	(84)
Total adjustments to income tax	(15)	(12)	(64)	(45)
Total adjustments	46	59	104	145
Non-GAAP Net income	\$ 245	\$ 175	\$ 750	\$ 450
GAAP earnings per share				
Basic	\$ 3.72	\$ 2.18	\$ 12.08	\$ 5.70
Diluted	\$ 3.69	\$ 2.16	\$ 11.98	\$ 5.65
Non-GAAP earnings per share				
Basic	\$ 4.59	\$ 3.29	\$ 14.03	\$ 8.42
Diluted	\$ 4.55	\$ 3.27	\$ 13.91	\$ 8.34
Basic weighted average shares outstanding	53,418,055	53,300,036	53,449,239	53,460,891
Diluted weighted average and equivalent shares outstanding	53,866,559	53,716,306	53,911,813	53,947,786

(1) Presented on a pre-tax basis.

(2) Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Nine Months Ended	
	October 2, 2021	September 26, 2020	October 2, 2021	September 26, 2020
Net income	\$ 199	\$ 116	\$ 646	\$ 305
Add back:				
Depreciation (excluding exit and restructuring costs)	18	16	54	51
Amortization of intangible assets	29	20	81	52
Total Other expenses, net	9	12	14	76
Income tax expense	29	22	96	39
EBITDA (Non-GAAP)	284	186	891	523
Adjustments to Net sales				
Purchase accounting adjustments	—	2	6	2
Total adjustments to Net sales	—	2	6	2
Adjustments to Cost of sales				
Share-based compensation	2	1	6	3
Product sourcing diversification initiative	—	1	—	4
Total adjustments to Cost of sales	2	2	6	7
Adjustments to Operating expenses				
Acquisition and integration costs	6	19	11	21
Share-based compensation	20	14	64	35
Exit and restructuring costs	—	1	—	7
Product sourcing diversification initiative	—	6	—	11
Total adjustments to Operating expenses	26	40	75	74
Total adjustments to EBITDA	28	44	87	83
Adjusted EBITDA (Non-GAAP)	\$ 312	\$ 230	\$ 978	\$ 606
Adjusted EBITDA % of Adjusted Net Sales	21.7 %	20.3 %	23.5 %	19.3 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Nine Months Ended	
	October 2, 2021	September 26, 2020
Net cash provided by operating activities	\$ 836	\$ 531
Less: Purchases of property, plant and equipment	(38)	(49)
Free cash flow (Non-GAAP) ⁽¹⁾	\$ 798	\$ 482

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.